Antero Resources (AR) & Antero Midstream (AM)

Combined Analysis Report — 2026-05-28

This report analyses Antero Resources (AR) and its sister midstream company Antero Midstream (AM) as a pair. The two companies share Appalachian basin gas exposure but operate fundamentally different business models — AR is a commodity-price-sensitive upstream producer, while AM is a fee-based tollroad infrastructure operator. Together they form a natural barbell on the Marcellus/Utica natural gas thesis driven by LNG export growth and data-center power demand.

Verdicts at a glance: **AR** = tradeable bounce setup, wait for technical confirmation (stochastic at 1.22, MACD still bearish). **AM** = cleaner entry profile with fresh MACD bullish crossover, lower volatility, and dividend income. Both score HIGH-confidence BULL_CALL_SPREAD on the trade engine.

1. Antero Resources Corporation (AR)

Company & context

Large-cap natural gas and NGL exploration & production company focused on the Appalachian basin (Marcellus & Utica). Headquartered in Denver, CO. Market cap $11.1B. Earnings 2026-07-29 (62 days out, LOW near-term options risk). Major beneficiary of LNG export growth and grid-scale natural gas demand for data centers.

Price action & structure

Metric	Value	Read
Price	$35.89 quote / $35.11 last close	—
20-day BB	lower 34.81 / mid 37.50 / upper 40.18	bb_pos 0.20 — approaching lower band
VWAP(20)	$37.58 (–6.57%), 4 bars below	Structural downtrend
Gap structure	5/27 gap-down unfilled at $35.45–$35.86	First overhead +1.5%
Higher lows (1h)	None — downtrend/sideways intact	No reversal structure yet
Recent slide	$38.98 (5/19) → $35.11 (5/27)	–10% in 6 sessions

Momentum

Indicator	Reading	Signal
RSI(14)	35.49	Neutral, low end
MACD	macd –0.56, signal –0.40, hist –0.16	Bearish, mildly expanding
Stochastic	K 1.22 / D 11.51	Extremely oversold — capitulation level
Candlesticks	Hanging man 5/13 + 2 long-legged doji	Topping / indecision

Volume & accumulation

OBV falls with price but volume_analysis flags subtle bullish divergence — accumulation footprint beneath the surface. No climax bars (slow grind rather than panic). Bid/ask spread at 106.86% of premium (extreme fear) but **narrowing** from elevated levels — bottom signal flagged as 'strong'.

Options positioning — the standout signal

Metric	Value
Put/Call ratio (OI)	22.83 — EXTREME
Put OI / Call OI	31,365 vs 1,374 (22.8× skew)
Volume P/C	0.32 — fresh flow mostly calls
Near-term skew	+21.94 (front-month 22.83 vs mid-term 0.89)
Avg IV	calls 166% / puts 109% (very rich)

Put unwinding flag	YES — existing puts being closed without renewal
DAOI net	–1,036 shares → MM net SHORT delta → buy_on_rally (weak)
Gamma wall	$37.50 (overhead resistance)
Delta flip	$26 (far below)
Unusual calls	4 detected, 1 high-conviction at $37 Jun 5 (vol/OI 1.53, paid above ask)

Reading the P/C 22.83: Not simple bearish positioning. Huge put OI + active call volume + put unwinding suggests **collar/protective-put structure being unwound** as fear fades. Likely institutional longs releasing hedges. **Contrarian-bullish.**

Relative strength & macro

Metric	Value
12m return vs SPY	–39.76% (weak)
12m return vs XLE	–52.84% (severely lagging own sector)
Sector momentum	XLE +42.19% over 12m — AR hasn't participated
1m / 3m / 6m / 12m	–6.9% / +4.39% / +3.85% / –10.65%
Short interest	3.9% float, 2.43 days-to-cover — LOW squeeze

Fundamentals — solid & accelerating

Metric	Value	Score
Composite score	+5 (solid)	✓
Revenue 3y CAGR	–15.5%	–1 (declining base)
Revenue acceleration	+25.5% YoY	+1 (accelerating)
Op margin 3y	8.5%	0
Op margin trend	+12.0% expanding	+1
FCF margin 3y	30.2% (strong)	+2
Valuation (P/E)	fair	+1
12-1 momentum	0.1% (positive)	+1

Quarterly revenue trajectory: $1.39B → $1.20B → $1.13B → $1.28B → **$1.86B (+45.1% QoQ in Q1 2026)**. **Net income:** $208M → $157M → $76M → $194M → **$535M (Q1 2026 = 6.9× the trough quarter)**. This is a fundamentally improving company in the middle of an earnings acceleration cycle.

Trade engine output

BULL_CALL_SPREAD, HIGH confidence, net_score +5 (bull 9 / bear 4). Drivers: stochastic 1.22 oversold, OBV bullish divergence, bid/ask narrowing, fundamentals solid, revenue accelerating, EPS accelerating, moderate unusual call sweep. Target $40.18 (upper BB), stop $34.11, RR 2.41.

AR verdict — tradeable bounce setup, wait for confirmation

This is the inverse of the IMSR setup: solid fundamentals (+5) combined with technical capitulation (stoch K 1.22). Higher-quality risk/reward than most bounce trades. But two reasons to wait: MACD still bearish & expanding, and high IV (166%) makes long-premium expensive.

Setups in priority order:

1. **Wait-for-confirmation play (preferred)** — trigger: AR closes above $36.55 (5/26 prior close) on volume > 5M. Then bull call spread or stock.
2. **Bull call spread now** — Aug 21 2026 $36/$40 call spread; targets upper BB by earnings (7/29). Work limit toward mid given high IV.
3. **Premium-selling play** — cash-secured put at $34 strike, Jul 17 expiration. Collect premium while waiting for cleaner entry around $34 (lower BB + gamma wall confluence).

Bail: Close at $33 (gamma wall) on rising volume.

2. Antero Midstream Corporation (AM)

Company & context

Midstream operator providing gathering, compression, processing, and water-handling services for Antero Resources' Appalachian production. Fee-based business model — behaves more like a utility/income name than a commodity producer. Market cap $10.1B. Earnings 2026-07-29 (same day as AR). Typical dividend yield ~6%.

Price action & structure

Metric	Value	Read
Price	$21.19 quote / $21.31 last close	—
20-day BB	lower 20.93 / mid 21.72 / upper 22.51	bb_pos 0.24 — lower-middle; very tight bands
VWAP(20)	$21.68 (–1.71%), 1 bar below	Just broke down, weak reclaim signal
Volatility	Max 1-day drawdown –4.23%; trailing stop 5.54%	Low-vol stock (vs AR's 11.5%)

Momentum

Indicator	Reading	Signal
RSI(14)	43.69	Neutral
MACD	macd +0.058, signal +0.052, hist +0.006	FRESH BULLISH CROSSOVER
Stochastic	K 34.04 / D 58.69	Bearish crossover, K falling
Candlesticks	1 doji (5/19)	Indecision; no reversal signal

Volume & accumulation

OBV flat while price falls — no clear accumulation. No climax bars. Volume 0.85× avg. Bid/ask spread at 44.79% (less extreme than AR) and **narrowing** — strong bottom signal flagged.

Options positioning

Metric	Value
Put/Call ratio (OI)	0.22 (bullish)
Avg IV	calls 117% / puts 88% — high for a midstream
DAOI net	+6,193 shares → MM net LONG delta → sell_on_rally
Gamma wall	$22 (just above current — overhead cap)
Delta flip	$10 (far below)
Unusual calls	1 high-conviction sweep at Jul 17 $23 (vol/OI 2.22, +8.5% OTM)

Read: Bullish positioning (low P/C) and high-conviction smart-money flow at $23 strike, but MM hedge bias is sell_on_rally — mechanical resistance caps the upside near the $22 gamma wall. Means any bounce is likely to stall in the $22–$23 zone unless something structurally changes positioning.

Relative strength & macro

Metric	Value
12m return	+17.22% (lagging SPY +29.08% but positive absolute)
6m return	+23.49% (strong)
3m / 1m return	–4.18% / –1.99% (recent consolidation)
RS vs sector (XLE)	–24.92 (sector lagging)
RS label	laggard
Short interest	3.17% float, 3.96 days-to-cover — MEDIUM squeeze risk

Note: AM is the only Antero-pair name with MEDIUM squeeze potential (4.0 days-to-cover). Not high enough to drive the trade, but a tailwind if volume spikes.

Fundamentals — solid (higher score than AR)

Metric	Value	Score
Composite score	+7 (solid) — higher than AR's +5	✓
Revenue 3y CAGR	+8.3% (slow)	0
Revenue acceleration	+1.2% (stable)	0
Op margin 3y	56.4% (strong)	+2
Op margin trend	+2.6% expanding	+1
FCF margin 3y	88.6% (strong)	+2
Valuation (P/E)	rich	0
12-1 momentum	+21.8% (strong)	+2

The midstream profile: revenue grows modestly (Q1 2026 $335M, +6.6% QoQ), op margin 56%, FCF margin 88.6%. This is the infrastructure-tollroad signature — steady, high-margin, capital-efficient cash flow generation. Net income is more volatile due to non-cash items: $124.5M → $116M → $51.9M → $118.3M.

Trade engine output

BULL_CALL_SPREAD, HIGH confidence, net_score +5 (bull 6 / bear 1). Drivers: MACD bullish, unusual call sweep, spread narrowing, fundamentals solid (+7), revenue accelerating, news moderately positive. Warnings: MM sell_on_rally bias (caps upside), strong sweeps vs MM resistance. Target $22.51 (upper BB), stop $20.51, RR 1.9.

AM verdict — cleaner entry than AR, less torque

AM has the more attractive entry profile right now: fresh MACD bullish crossover (vs AR's bearish), already-positive 12m return, tighter volatility, dividend income while you wait. The price of this lower risk is lower upside — the gamma wall at $22 + MM sell_on_rally bias mechanically caps near-term gains.

Setups in priority order:

1. **Long stock for dividend + bounce** — accumulate $20.93–$21.50 near lower BB. Collect ~6% yield while waiting for re-rate to $22.51. Stop $20.03 (trailing).
2. **Bull call spread** — Jul 17 2026 $21/$23. Smaller range than AR, matches the high-conviction unusual sweep at the $23 strike.
3. **Cash-secured put sell** — $20 strike, Jul 17 expiration. Collect premium with willingness to take assignment at lower BB.

Bail: Close at $20.03 (trailing stop) on rising volume.

3. AR vs AM — Comparative Analysis

Side-by-side data

Metric	AR	AM
Business model	E&P (commodity)	Midstream (toll road)
Market cap	$11.1B	$10.1B
Price	$35.89	$21.19
BB position	0.20	0.24
MACD	Bearish (hist –0.16)	FRESH BULLISH (hist +0.006)
Stochastic %K	1.22 (extreme oversold)	34.04 (mid-range)
RSI	35.5	43.7
Trade engine	BULL_CALL_SPREAD HIGH +5	BULL_CALL_SPREAD HIGH +5
Fundamentals	+5 solid	+7 solid
FCF margin	30%	88.6%
Op margin	8.5%	56.4%
Revenue acceleration	+25.5% (Q1 jump)	+1.2% (steady)
RS vs SPY (12m)	–39.8% (weak)	–11.9% (laggard)
RS vs XLE (12m)	–52.8%	–24.9%
DAOI bias	buy_on_rally (weak)	sell_on_rally
Unusual calls	Mod, 1 hi-conv @ $37	Mod, 1 hi-conv @ $23
Squeeze potential	LOW	MEDIUM
Trailing stop	11.5% (high vol)	5.5% (low vol)
Avg IV	166% (extreme)	117% (high)
Dividend yield	Minimal	~6%
Earnings date	2026-07-29	2026-07-29 (same day)

Pair-trade thesis

AR and AM together capture two distinct expressions of the same Appalachian natural gas thesis. AR provides commodity-price torque — if Henry Hub spot rises on LNG demand or data-center load, AR's revenue and FCF expand directly. AM provides infrastructure income — its fees scale with throughput volume, not price, so it performs even in flat or declining commodity environments.

The complementarity: AR has more upside in a natgas rally (higher beta to commodity price, higher torque on margins). AM has more downside protection in a chop (fee-based revenue + dividend yield + lower beta). A barbell across both reduces the binary outcome of being wrong on natgas direction while still expressing constructive Appalachian basin exposure.

Volume of mutual gas flow: AM's contracted minimum-volume commitments from AR mean its top-line is partly insulated from AR's production decisions. But if AR were to materially curtail (e.g. low natgas prices, capex cuts), AM's growth would slow.

Recommended allocations

Profile	AR weight	AM weight	Rationale
Aggressive bull	70%	30%	Maximize commodity torque; accept volatility
Balanced barbell	50%	50%	Equal-weight torque and income
Income-tilted	30%	70%	Prioritize dividend yield + downside protection
Pure speculation	100%	0%	Bounce trade only; not for hold
Pure income	0%	100%	Dividend-focused; no commodity bet

Risks & failure modes

1. Natural gas price collapse — both names lose, but AR loses more. AM's fee-based revenue would still print but growth would stall; AR's earnings would deteriorate rapidly.
2. Q2 2026 earnings disappointment (7/29) — both report on the same day. AR more sensitive to commodity-driven beats/misses; AM more sensitive to throughput volume guidance.
3. Sector rotation out of energy — XLE has been leading; if it rolls over, both AR and AM follow even if their fundamentals stay intact.
4. AR-specific operational issues — well productivity, midstream constraints, hedge book mark-to-market. These are idiosyncratic risks AM doesn't share.
5. AM dividend coverage — if free cash flow compresses, the ~6% yield could be cut. Recent FCF margin of 88.6% gives a wide cushion but not infinite.

4. Conclusion

Both AR and AM are high-quality setups for a year-end constructive natural gas thesis. The trade engine independently rated both as HIGH-confidence BULL_CALL_SPREAD with identical +5 net scores, but for different reasons: AR is capitulation-oversold with accelerating fundamentals waiting for a technical turn, AM is MACD-confirming with a cleaner entry but capped upside.

If forced to pick one: AR for the higher max-profit potential if the natgas thesis plays out, AM for the higher probability of a modest positive outcome with much less downside risk. **If barbell allocation is available**: balanced 50/50 is the most defensible.

This is research output from a personal dashboard. Not financial advice. The IV-rank 'extreme fear' tag in the options scorer is currently degenerate across most names and was de-weighted in this analysis. Earnings risk (2026-07-29) sits inside typical position horizons; size accordingly.